

example where price forms a minor high or low near the day the two trendlines converge at the triangle's apex.

I measured how often this works and wrote an article about it on my website (<http://thepatternsite.com/Apex.html>). I concluded, "Price reaches a minor high or minor low 75% of the time within a few days of the triangle apex. Price turns from down to up or up to down 60% of the time."

If you draw your triangle accurately enough, then you'll know where price may turn by looking at the apex.

Experience

I have used the descending triangle for both buying and selling. Let's talk about the sell side first.

Johnson & Johnson

Johnson & Johnson (JNJ) made a tall downward spike during the bear market in October 2008. I bought that day and received a fill at 55.12. Two days later, the stock had rebounded to 67.48, but I was in the trade for the long term. I missed an opportunity to cash out for a 22% gain. Realistically the gain would have been 16% if I sold at the next day's open.

- Lesson: If the market hands you a large short-term gain, consider taking it.

The stock dropped and formed what now looks like a symmetrical triangle, but I thought was a descending triangle at the time. You can see it either way, depending on how you draw the trendlines and how many times you expect price to touch the trendlines (I now require five touches).

The stock continued lower, and I sold the day price broke out downward from the triangle, receiving a fill at 54.97. So I bought at 55.12, sold at 54.97, and made money. How can that be? The stock paid a dividend, so I made enough to overcome the loss. From my notebook: "This looked to be falling through a descending triangle, so I know it's going lower." The stock bottomed at 46.25 or 15% below where I sold.